

ORACLE FUSION EXPENSES

Expense Policies & Rules

A Practitioner's Implementation Guide

Topics Covered

Defining Expense Policies and Rules | Airfare Policies | Car Rental Policies
Mileage Policies | Entertainment Policies | Per Diem Configuration

[Oracle Fusion Cloud | Financials | Expense Management](#)

Module: Expenses | Audience: Functional Consultants & Finance Teams

Introduction

Having implemented Oracle Fusion Expenses across multiple client environments, I can say with confidence that getting your expense policy configuration right from the outset is one of the most impactful decisions you will make during your Fusion Financials implementation. In this guide, I walk you through every aspect of defining, enforcing, and managing expense policies in Oracle Fusion Cloud — drawing directly from hands-on implementation experience.

This document covers the full spectrum of expense policy management: from the foundational navigation paths inside Setup and Maintenance, through Airfare, Car Rental, Mileage, Meals, Entertainment, and Per Diem policies, to the critical step of assigning those policies to expense types inside Expense Report Templates. Whether you are setting up a single-country deployment or a complex multi-currency, multi-business-unit global rollout, this guide will serve as your definitive reference.

What You Will Learn

After working through this guide, you will be able to accomplish the following:

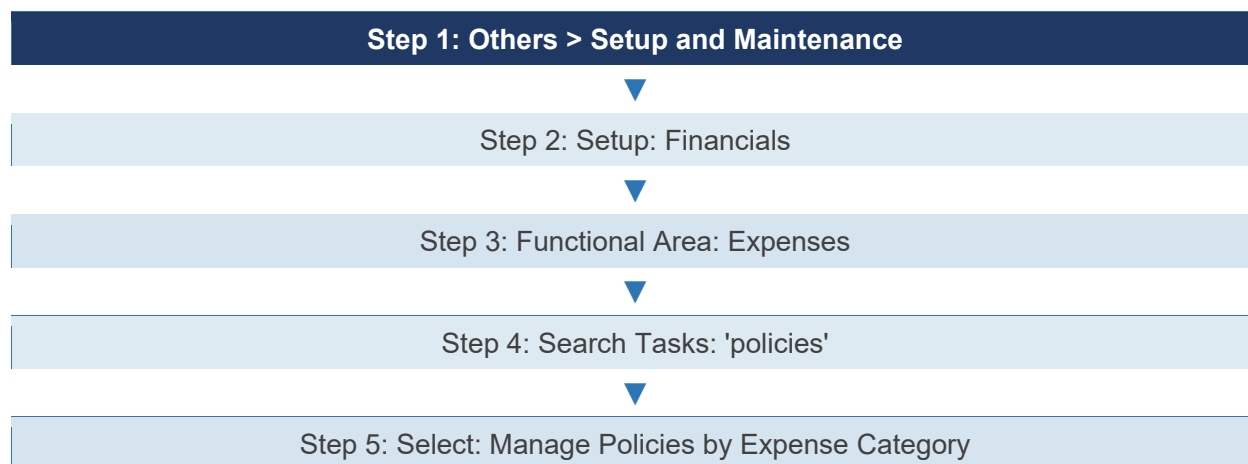
- Define expense policies and rules within the Oracle Fusion Expenses module
- Enforce expense policies at both the warning and error levels
- Manage policies by expense category across all supported categories
- Create different types of expense policies including rate enforcement and rate calculation policies
- Understand and configure entertainment policies including attendee capture
- Capture attendee information for expense categories beyond just entertainment
- Understand the Per Diem feature and configure all four key components

1. Defining Expense Policies and Rules

The journey into expense policy configuration begins in Oracle Fusion's Setup and Maintenance work area. I always start here, navigating to the Expenses functional area, which is the command center for all expense-related configuration tasks.

1.1 Navigation Path

The navigation path I use in every implementation is as follows:



Navigation Tip

In Setup: Financials, use the Search Tasks field to search for 'policies' and the system will display the Search Task Results panel. This is faster than scrolling through all Expense tasks. The task 'Manage Policies by Expense Category' is your primary configuration entry point. It appears under the Expenses functional area.

1.2 Expense Policy Categories

Oracle Fusion Expenses allows you to create category-based expense policies to enforce company-specific spending rules. In my experience, setting these up correctly at the beginning avoids a great deal of rework during user acceptance testing. The supported expense categories for policy creation are:

Expense Category	Policy Purpose	Policy Type
Airfare	Controls flight class based on trip duration, flight type, or employee role	Rate Enforcement
Accommodations	Sets limits on hotel and accommodation spend per night or per day	Rate Enforcement
Car Rental	Controls daily rental limits by employee role or location	Rate Enforcement

Expense Category	Policy Purpose	Policy Type
Entertainment	Manages gift and entertainment spending including attendee capture	Rate Enforcement
Meals	Enforces meal spending limits per instance or per day	Rate Enforcement
Mileage	Calculates reimbursable amounts based on distance and vehicle type	Rate Calculation
Miscellaneous Expenses	Catches other expense types not covered by specific categories	Rate Enforcement
Per Diem	Sets standard daily travel reimbursement rates replacing actual receipts	Rate Calculation

Real-World Example

In a recent implementation for a UK-based professional services firm, I created separate Meals policies for GBP, EUR, and USD employees — each with different single-instance limits. I also created a Mileage policy for UK employees using GBP-Pound Sterling as the currency with miles as the unit of measure, while US employees had a separate USD policy using kilometres.

1.3 Two Types of Category-Based Policies

Before creating any policy, it is critical to understand that Oracle Fusion supports two fundamentally different types of category-based policies. Confusing these two types is one of the most common mistakes I have seen during implementations:

Policy Type	Purpose	Applicable Categories
Rate Enforcement Policies	Enforce that expenses stay within specified rate limits. Generates warnings or errors when employees exceed the defined limits.	Accommodations, Airfare, Car Rental, Entertainment, Meals, Miscellaneous
Rate Calculation Policies	Calculate the applicable reimbursement amount based on distance or daily rates. The system computes the reimbursable amount rather than comparing against a limit.	Mileage, Per Diem

Critical Implementation Note

Rate Enforcement Policies control limits and generate warnings or errors. Rate Calculation Policies actively calculate reimbursement amounts. If you apply a Rate Calculation policy to a standard expense type like Meals, it will not behave as expected. Always match the policy type to the correct expense category.

1.4 Mandatory Setup Tasks for Category-Based Expense Policies

In my experience, there are two mandatory setup tasks that every implementation must complete when configuring category-based expense policies. Skipping either of these results in policies that either cannot be enforced or do not appear for selection during expense entry:

Setup Task	Purpose	Key Actions
Manage Policies by Expense Category	Create and activate all category-based policies	Define policy, set enforcement rules, activate policy for use, assign a single policy to multiple expense types where applicable
Manage Expense Report Templates	Assign policies to expense types within templates	Define expense types, assign policies at parent expense type level or itemization expense type level, set effective start dates

2. Airfare Policies

Airfare policies are among the most commonly configured policies I encounter during implementations. In my experience, companies want to control flight class based on employee seniority — ensuring that executives can fly business while general staff are restricted to economy. Oracle Fusion handles this elegantly through the Flight Class Policy feature.

2.1 Creating an Airfare Policy

To create an Airfare policy, navigate to Manage Policies by Expense Category, click Create Policy, and select Airfare from the dropdown menu. The system presents the Create Flight Class Policy screen with the following key fields and sections:

Field / Section	Description	My Recommendation
Policy Name	Unique identifier for the policy (e.g., 'UK Airfare Policy')	Use a naming convention that includes country/BU prefix for multi-entity environments
Description	Free-text description of the policy purpose	Always document the business rule this policy enforces
Status	Draft on creation; must be explicitly Activated before it can be used	Never leave policies in Draft status after testing is complete
Flight Class Determinant	Determines what drives the permitted flight class — Flight Type, Flight Duration, or Role	Use Role (Job) for most enterprise implementations to tie flight class to employee job level
Role Type	If Role is selected, specify whether by Job, Grade, or Position	Job is the most common and maintainable option in standard Fusion setups
Policy Enforcement	Choose between Prevent report submission (hard stop) or Policy violation warning (soft warning)	I recommend Policy violation warning with 'Display warning to user' enabled for initial rollouts

Practitioner Tip

When you first create the Flight Class Policy, the Status is 'Draft'. You must first Save the header, then click 'Create Flight Class Policy' to add role-to-flight-class mappings in the dialog. For example, you would map 'All Others' to Coach and 'Chief Financial Officer (CFO)' to Business class. Once mappings are complete, click 'Save and Close'. Then activate the policy from the search results page.

2.2 Creating Flight Class Policy Rates

After saving the header, I click the 'Create Flight Class Policy' button to enter the role-to-class mappings. This opens a dialog where I define which roles are permitted which flight class. A typical configuration looks like this:

Role	Role Code	Permitted Flight Class	Start Date	Status
All Others	All Others	Coach	04/27/21	Draft
Chief Financial Officer (CFO)	JOB031	Business	04/27/21	Draft

After completing the flight class mappings and clicking Save and Close, the Policy Status changes from Draft to Valid. This means the policy has valid rate data but is not yet Active. You must still activate it from the Manage Policies by Expense Category search results screen.

2.3 Policy Violations for Airfare Policies

One of the features that distinguishes airfare policy violations from standard expense policy violations is the guaranteed visibility to the approver. Understanding this distinction is important when setting up the enforcement behavior:

Policy Violation	Application Action	Effect on Employee	Effect on Approver
Warning	Generates a warning violation when an airfare expense violates the policy	A warning is displayed only if you enabled the 'Display warning to user' checkbox on the policy	A warning is ALWAYS displayed to the approver, whether or not the 'Display warning to user' checkbox is enabled
Error	Generates an error policy violation when an airfare expense violates the policy	An error is shown and the employee is prevented from submitting the expense report	N/A — report cannot be submitted

Key Point — Airfare Warnings Are Always Visible to Approvers

Unlike standard expense policies where the approver warning is controlled by the 'Display warning to user' flag, for airfare policies the approver ALWAYS sees the warning. This is by design to ensure that managers are always aware of non-compliant flight bookings, even if the employee is not shown the warning directly.

2.4 Assigning Airfare Policy to an Expense Type

Once the airfare policy is activated, I navigate to the Manage Expense Report Templates task and open the relevant template (for example, Travel UK for UK employees). Inside the template, I select the expense type (Airfare), click the Edit icon, and go to the Policies tab. From the Expense Policy section, I add a row, select the airfare policy from the choice list, and enter the start date. The result is that any expense report item of type Airfare submitted through this template will be validated against the UK Airfare Policy.

3. Car Rental Policies

Car Rental policies follow the same Rate Enforcement pattern as Airfare but with the added complexity of a spreadsheet-based rate upload using the ADF Desktop Integration (ADFdi) tool. In my experience, the rate upload is the step where most implementations encounter issues — usually because implementors try to manually type into protected cells rather than using the ADFdi tools correctly.

3.1 Creating a Car Rental Policy

The Create Car Rental Policy page contains several important sections. I walk through each of these in detail below, as each decision has downstream implications for how expense validation will work:

Section	Field	Options / Guidance
Header	Policy Name	Use a descriptive name (e.g., '11Car Rental Policy')
Rate Definition	Rate Limit Type	Select 'Daily limit' for per-day car rental caps — the most common configuration
Rate Definition	Rate Currency	Choose 'Single currency' for single-country deployments; 'Multiple currencies' for multi-country entities
Rate Determinants	Role	Check this to segment rates by employee role (e.g., different daily limits for Sales Manager vs. Accounting Manager)
Rate Determinants	Role Type	Set to 'Job' when using Oracle job-based role hierarchies
Rate Determinants	Location	Optionally restrict rates by geographical location or zone for region-specific pricing
Policy Enforcement	Generate policy violation	Select this option to trigger warnings or errors when expenses exceed defined rates
Policy Enforcement	Policy violation warning	Check this to warn employees; set Warning Tolerance Percentage (e.g., 10%)
Policy Enforcement	Prevent report submission	Check this to hard-stop submissions above the error threshold; set Error Tolerance Percentage (e.g., 20%)

Real-World Example

In a US-based technology company implementation, I configured a car rental policy with Role-based rate determinants. Sales Managers had a USD \$150/day limit, Accounting Managers had USD \$100/day, and Sales Representatives had USD \$120/day. The policy violation warning was set at 10% (so \$110, \$165 etc. would trigger a warning), and report submission was prevented above the 20% error tolerance threshold.

3.2 Uploading Car Rental Rates via Spreadsheet

After saving the Car Rental policy header, I click the 'Create Car Rental Rates' button. This downloads an Oracle-branded Excel spreadsheet with the ADF Desktop Integration add-in enabled. The spreadsheet has a specific structure that must be respected:

Column	Description	Important Note
Changed	System-managed flag; do not edit	Automatically set when you modify a row
Flagged	System-managed; indicates rows flagged for deletion	Double-click to flag for deletion
Status	Reflects upload status after submission	Blank until rates are uploaded
Validation Status	Shows 'Valid' when rates pass validation	Must show 'Valid' before rates are accepted
Role	Select from choice list — do not type directly	Use the double-click method to open the location dialog for Geographical Location
Role Code	Auto-populates based on role selection	Do not manually type Role Codes
Daily Limit	Enter the maximum daily reimbursable rate	Required field
Start Date	Effective start date for the rate	Must align with or be after the policy start date
End Date	Optional; leave blank for open-ended rates	Leave blank unless the rate has a known end date

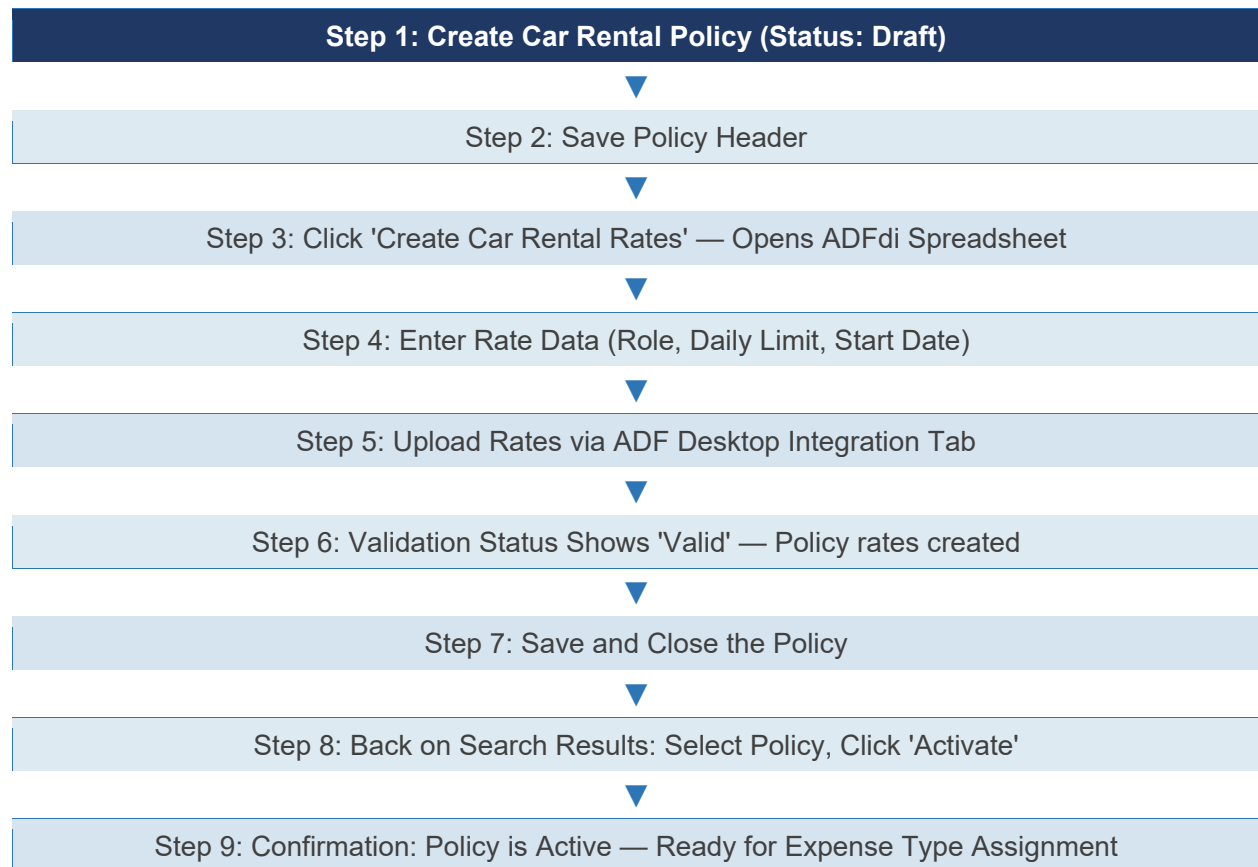
Once rates are entered, I click 'Upload Rates' from the ADF Desktop Integration tab in Excel. The system validates the data and shows 'Valid' in the Validation Status column if everything is correct. The message 'Policy rates were created' confirms successful upload.

Critical ADFdi Warning

Never change the protection settings on the ADFdi spreadsheet. The spreadsheet is protected to prevent accidental corruption. If you need to modify cell content (particularly the Geographical Location column), double-click the flagged cell in that row to open the data entry dialog. Typing directly into protected cells will corrupt the spreadsheet and you will need to re-download it.

3.3 Activating the Car Rental Policy

Once the policy header is saved and rates are uploaded, I return to the Manage Policies by Expense Category search results. I select the policy row and click the Activate button. A Confirmation dialog appears: 'The policy is now active and ready for assignment to expense types for enforcement.' I click OK to confirm. The policy Status changes from Valid to Active.



3.4 Assigning Car Rental Policy to an Expense Type

The final step is to link the active Car Rental policy to the Car Rental expense type within the Expense Report Template. I navigate to Manage Expense Report Templates, open the relevant template, and either create a new Car Rental expense type or edit an existing one. The key fields to populate are Name, Category (Car Rental), and Account. Then I navigate to the Policies tab where I see the Expense Policy section. I click the Add Row icon, select the Car Rental policy from the dropdown, and save.

4. Mileage Policies

Mileage policies are Rate Calculation policies — they do not enforce an upper limit but instead calculate the reimbursable amount based on distance travelled and applicable rates. This makes them fundamentally different from the Rate Enforcement policies we covered in the previous sections. I always emphasize this distinction to project stakeholders to manage expectations correctly: mileage policies calculate, they do not cap.

4.1 Creating a Mileage Policy

Navigating to Manage Policies by Expense Category and creating a Mileage policy opens the Create Mileage Policy screen. This is one of the richer configuration pages in the Expenses module, with several interconnected sections:

Section / Field	Description	My Experience
Policy Name	Name for the mileage policy (e.g., 'UK Mileage')	Include country code for global implementations
Country	Associates the policy with a specific country	Critical for global deployments; drives currency and UOM defaults
Rate Currency	Single currency or Multiple currencies	For UK employees, I always set this to GBP - Pound Sterling
Unit of Measure	Mile or Kilometre	UK: Mile; US: Mile; Continental Europe: Kilometre
Mileage Eligibility Rules — Standard mileage deduction	Enable to deduct a fixed distance from each trip (e.g., 10 miles for home-to-office commute)	Enable this for policies where the first portion of each trip is not reimbursable
Mileage Eligibility Rules — Minimum distance for eligibility	Sets a minimum trip distance below which no mileage is reimbursed	Useful to prevent claims for very short distances
Mileage Eligibility Rules — Enable commute mileage deduction	Deducts the employee's regular commute distance from each trip	Set to Optional (employee decides) or Required per day
Mileage Rate Determinants — Vehicle Category	Source: can be 'Vehicle Category' lookup values	Configure EXM_VEHICLE_CATEGORY lookup to add valid vehicle categories
Mileage Rate Determinants — Vehicle Type	Source: can be 'Vehicle Type' lookup values	Configure EXM_VEHICLE_TYPE lookup with values like 'Car' and 'Motorbike'
Mileage Rate Determinants — Fuel Type	Source: can be 'Fuel Type' lookup values	Configure EXM_FUEL_TYPE lookup with values like 'Diesel' and 'Petrol'

4.2 Configuring Vehicle and Fuel Type Lookups

Before the Vehicle Type and Fuel Type determinants will work correctly, I must configure the underlying lookup types. This is a step that is easy to overlook during first-time implementations. The lookups are managed in the Manage Standard Lookups task, accessible via the global search or the Setup and Maintenance search.

The relevant lookup types for mileage are:

Lookup Type	Meaning	Sample Lookup Codes
EXM_VEHICLE_CATEGORY	Vehicle Category — defines categories of vehicles applicable to mileage	No predefined codes; implementation-specific
EXM_VEHICLE_TYPE	Vehicle Type — defines types of vehicles applicable to mileage	'Car' (Display Seq: 1), 'Motorbike' (Display Seq: 2)
EXM_FUEL_TYPE	Fuel Type — types of fuel applicable to mileage calculations	'Petrol' (Display Seq: 1), 'Diesel' (Display Seq: 2)

Lookup Configuration Tip

When I add lookup codes, I always use meaningful Display Sequence numbers starting from 1. For EXM_VEHICLE_TYPE, I typically add 'Car' with sequence 1 and 'Motorbike' with sequence 2. For EXM_FUEL_TYPE, I add 'Petrol' with sequence 1 and 'Diesel' with sequence 2. This determines the order in which the values appear in the expense entry dropdowns.

4.3 Uploading Mileage Rates

Once the policy is saved, I click 'Create Rates' to download the mileage rates spreadsheet. Unlike car rental rates, mileage rates include columns for Vehicle Type and Fuel Type (based on the determinants selected), as well as the Mileage Rate (amount per unit of measure). A sample rate structure for a UK policy:

Vehicle Type	Fuel Type	Mileage Rate (GBP per Mile)	Start Date
All Others	All Others	0.15	01/01/2001
Car	Petrol	0.45	01/01/2001
Car	Diesel	0.40	01/01/2001
Motorbike	Petrol	0.20	01/01/2001

4.4 Add-On Rates

Oracle Fusion supports Add-On Rates within mileage policies, which is a feature I use when companies need to reimburse an additional per-passenger rate (for example, when an employee carries colleagues in their personal vehicle). The Add-On Rates section allows:

- Enable passenger rate — toggle to allow per-passenger reimbursement
 - Rate Type: Single rate per passenger, Rates by mileage determinants, Rates by range of passengers, or Rate by mileage determinants and range of passengers
- Capture passenger name — optionally require the employee to record passenger names
- Calculate passenger rate by distance traveled by passenger
- Restrict number of passengers reimbursed — set a Maximum Number of Passengers
- Enable company-specific rates — with Rate Type set to Fuel Type for example

4.5 Testing Mileage Calculation in Expense Entry

After configuring the mileage policy and assigning it to the Mileage expense type within the template, the employee experience during expense entry works as follows: The employee creates a new expense item, selects the UK Mileage expense type, and is prompted to select Vehicle Type and Fuel Type from the dropdowns configured via the lookups. They enter the Trip Distance in Miles. When they click Calculate, the system applies the matching mileage rate to compute the Reimbursable Amount automatically. For example, a Car/Diesel trip of 100 miles at the rate of £0.40/mile yields a Reimbursable Amount of £40.00.

5. Entertainment Policies

Entertainment expense policies represent one of the most compliance-sensitive areas in the Expenses module. In my experience working with clients in financial services and professional services, getting entertainment policy configuration right is critical — both for regulatory compliance (think Bribery Act in the UK, FCPA in the US) and for practical audit defensibility. Oracle Fusion provides rich controls specifically designed for entertainment and gift expenses.

5.1 Entertainment Policy Overview

An entertainment expense policy is designed to manage and control entertainment and gift expenses for which employees are reimbursed. The policy serves a dual purpose: it protects the company from inappropriate expenditures and ensures compliance with local laws and regulations that restrict business entertainment. Within Oracle Fusion, I can configure an entertainment policy to achieve the following:

- Define entertainment spending rules including per-instance limits and aggregate totals
- Define entertainment policy violations at both warning and error levels
- Capture information about event attendees including both employee and non-employee attendees
- Restrict creation of new non-employee attendees to a pre-approved list

5.2 Spend Controls for Entertainment Policies

Oracle Fusion includes a comprehensive set of spend controls for entertainment policies. I configure these based on the client's internal controls and regulatory requirements. The available controls are:

Control	Description
Rate limits for employee attendees	Define maximum reimbursable amounts per employee attendee, per event
Daily sum limits	Cap the total entertainment and gift expenses that can be claimed in a single day
Single, daily and yearly limits based on employee grades	Allow tiered limits so senior employees may have higher entertainment budgets
Restrict creation of new non-employee attendees	Enforce a pre-approved list of external attendees; employees cannot add new names not on the list
Mandate at least one employee and one non-employee as attendees	Ensure that entertainment claims include both internal and external participants
Add attendees to itemized expenses	Require attendee capture at the individual line item level
Validate required attendee information	Enforce completeness — ensure all mandatory attendee fields are populated before submission

5.3 Creating an Entertainment Policy

The Create Entertainment Policy page is organized into three major sections. I walk through each during client configuration sessions:

Section 1: Capture Attendee Information

This section controls which attendee information the system will capture during expense entry. The key configuration choices are:

Option	Description	My Recommendation
Capture number of attendees for expense lines above specified amount	When enabled with a threshold (e.g., USD \$50), only prompts for attendee count above that amount	Use this for high-volume entertainment teams to reduce friction for small expenses
Capture attendee information	Full attendee capture mode — employee enters detailed attendee information	Recommended for most compliance-driven implementations
Display employee attendee information	Shows an Employee Attendees section during expense entry; Attendee Amount can be Optional, Required, or Hidden	Always enable; set Attendee Amount to Optional unless client requires cost allocation
Display non-employee attendee information	Shows Nonemployee Attendees section; includes Attendee Type, Attendee Amount, and Job Title fields	Always enable; set Job Title to Hidden unless the client specifically needs it
Require at least one employee as attendee	Enforces that at least one company employee is always listed	Recommended — prevents external-only claims
Enable non-employee creation	Allows employees to create new non-employee attendee records	Disable this if you want to restrict to a pre-approved list
Require at least one non-employee as attendee	Enforces external attendee presence	Enable for client entertainment policies; disable for internal team events

Section 2: Rate Definition

The Rate Definition section is where I configure the spending limits that will drive the policy violation logic. Key fields include:

- Enable rate limit — must be checked to activate spending controls
- Rate Limit: Single instance limit (per event), Daily sum limit (per day total), and Yearly limit (calendar-year cap)
- Period Start Month and Period Start Day — defines when the yearly cycle resets (e.g., January 1 for a calendar-year policy)
- Rate Currency: Single currency or Multiple currencies

- Policy violation warning — generates a warning when the limit is exceeded by a configurable percentage
- Prevent report submission — hard-stops the expense report if the error tolerance is exceeded

Section 3: Rate Determinants

Rate determinants allow the policy to apply different limits based on employee attributes. For entertainment policies, I can segment by Employee (based on employee grade) and Nonemployee Attendee Types (applies different rules for different external attendee categories). This is the mechanism I use when a client wants directors to have higher entertainment budgets than junior staff.

5.4 Defining Rate Limits for Employee Attendees

After configuring the policy header and sections, I click 'Create Rates' from the policy page to enter the actual spending amounts. The Create Rates dialog opens within the policy page and accepts the Single instance limit amount and Start Date. For example, for a USD Single Instance Limit policy:

Rate Field	Example Value	Notes
Single instance limit (USD)	100.00	Maximum USD per entertainment event per employee
Start Date	6/22/17	Effective start date of the rate
End Date	Leave blank	Open-ended rate
Status	Draft	Will become Active upon policy activation

Practitioner Tip — Defining Employee Rates

When I define Rate Limits for Employee Attendees, I first configure the Rate Definition section (selecting Single instance limit, Daily sum limit, or Yearly limit), specify the Rate Currency and currency, then click 'Create Rates'. The dialog that appears is specific to the limit types selected. For a simple single-instance USD policy at \$100, I enter 100.00 in the Single instance limit column with the appropriate start date.

5.5 Capturing Attendee Information for Other Expense Categories

One of the features I find most powerful — and least understood — in Oracle Fusion Expenses is the ability to capture attendee information for expense categories beyond just Entertainment. For example, you may need to capture attendee information for Meals (if a client lunch must document who attended) or for Miscellaneous expenses (for regulatory purposes). The mechanism to achieve this is:

Step 1: Create an Entertainment Policy with ONLY attendee capture specified (no rate limits needed)



Step 2: Assign this Entertainment policy to the target expense category (e.g., Meals) via the Expense Type's Policies tab — Attendees Policy section



Step 3: The expense entry screen for that category will now display Employee Attendees and Nonemployee Attendees sections



Step 4: Employee enters attendee details during expense submission

How This Works in Practice

I once implemented this for a pharmaceutical company that needed to capture attendee information for any Meals expense above a certain threshold — to comply with HCP (Healthcare Professional) interaction regulations. I created an Entertainment policy called 'Meals Attendee Capture' with only the Capture Attendee Information section configured (no rate limits), then assigned it to the Meals expense type in the Attendees Policy sub-section of the Policies tab on the Edit Expense Type screen.

5.6 Number of Attendees Captures When Expense Exceeds Designated Limits

For companies that want a lighter-touch approach — capturing only the count of attendees (not their names) when entertainment or meals expenses exceed a certain threshold — Oracle Fusion provides the 'Capture number of attendees for expense lines above the specified amount' option on the Create Entertainment Policy screen. When this is configured:

- The system only triggers the attendee count prompt when the expense line amount exceeds the configured threshold (e.g., USD \$50)
- The employee enters a simple count of attendees rather than names and details
- Auditors can view the cost per attendee when reviewing the expense
- This appears in the Expenses Work Area as a simple 'Number of Attendees' field on the expense item

Real-World Example

For a US-based financial services client, I configured the 'US Capture Attendees' policy with the threshold set to USD \$50. Any meal expense under \$50 required no attendee information. Any meal at \$50 or above prompted the employee to enter the number of attendees. This reduced user friction for routine working lunches while ensuring compliance for significant client entertainment events.

6. Per Diem Feature

Per Diem is one of the more complex areas of Oracle Fusion Expenses configuration, but it is also one of the most strategically important for clients with substantial domestic or international travel. Unlike standard expense reimbursement — where employees claim actual receipts — per diem pays a fixed daily allowance that covers meals and/or accommodations without requiring individual receipts. Having configured per diem policies for clients across Germany, the US, and the UK, I have learned to appreciate the flexibility Oracle provides while respecting its significant configuration complexity.

6.1 What Is Per Diem?

Per diem rates are standardized daily reimbursement rates set by governments or companies to reimburse employees for travel expenses. Key characteristics of the per diem feature in Oracle Fusion:

- Sets fixed rates reimbursed to employees to cover expenses while away on travel — actual receipts are not required
- Rates are generally aligned with government-published country or locality rates
- When per diems are paid, actual expenses for the covered categories (meals, accommodation) are not separately reimbursed
- The per diem setup provides extensive options for configuring rates by country, location, accommodation type, and more

6.2 Global Per Diem Policies

Global per diem policies provide extensive support for complex per diem requirements that vary by country and regulation. The key capabilities I leverage during implementations:

- Time-based rates: Supports first-and-last-day reduced rates and long-term travel reduced rates
- Meals and accommodations deductions when the employer provides a meal or accommodation
- Administration of rates simplified through spreadsheet-based upload
- Calculation method options: Daily rate, Sum of separate rates, Daily time range rates, or Sum of separate time range rates

6.3 Per Diem Rate Types

Oracle Fusion supports several per diem rate types that I configure based on the client's travel policy requirements:

Rate Type	Description	When I Use It
First and last day rates	Reduced rates for the first and last day of travel (e.g., 75% of the standard daily rate)	When the client's travel policy or government regulation specifies reduced allowances on travel days

Rate Type	Description	When I Use It
Same day rates	Rates for trips where the employee does not stay overnight	Essential for clients whose employees frequently make same-day business trips
Long-term, weekend, and holiday rates	Different rates for extended travel periods, weekend days, and holidays	For clients with staff on multi-week project assignments abroad
Meals and accommodations deductions	Deductions applied when meals or accommodations are provided by the employer or event organizer	Required when conference registration includes meals that must be deducted from the per diem allowance

6.4 The Four Components of Per Diem Configuration

In my experience, the best way to approach per diem setup is to understand the four key components of the Create Per Diem Policy page:

Component	What It Controls	Key Options
Rate Currency	The currency in which rates are loaded. Determines whether rates are single-currency or location-based currency.	Single currency (e.g., USD for a US-only policy) or Location rate currency (rates vary by destination — required for international per diem)
Rate Calculation Method	Defines the type of per diem calculation: time-based (fixed daily rate) or non-time-based (variable based on duration)	Daily rate (simple fixed rate), Sum of separate rates (separate meal/accommodation rates), Daily time range rates (varies by hours elapsed), Sum of separate time range rates (most complex — separate rates by time range)
Rate Definition	Specifies which expense components the per diem covers (meals, accommodations, or both) and any applicable deductions	Rate Includes: Meals and/or Accommodations; Free Meals Deduction; Free Accommodations Deduction; Meals deduction type and percentage
Rate Determinants	The factors that vary the per diem rate. Drives the rate lookup logic in the spreadsheet upload.	Spreadsheet determinants: Location (Geographical/Zone), Season, Accommodation Type. Rate Rules: First and Last Day, Role, Long Term Travel, Weekend and Holiday

My Approach to Per Diem Setup

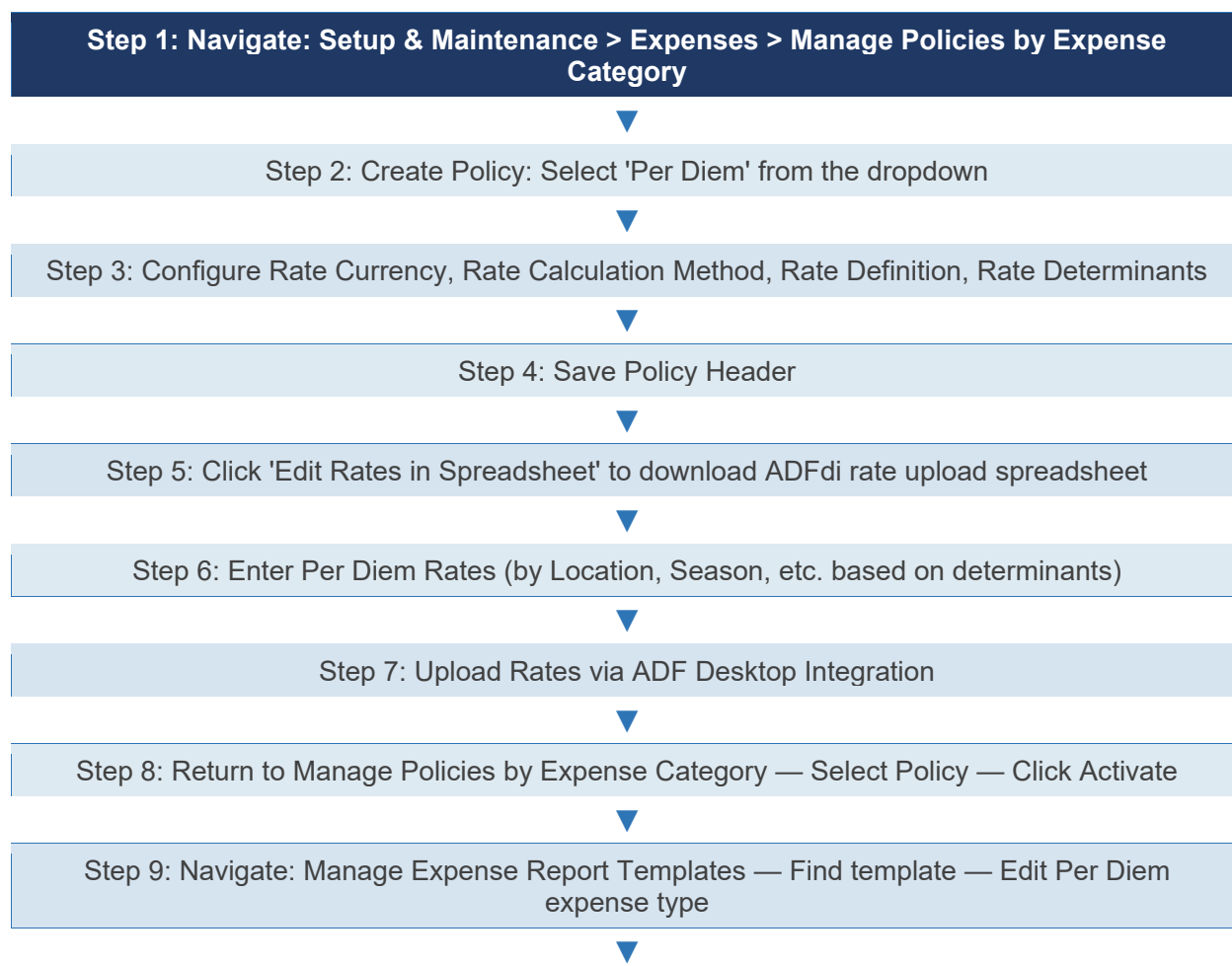
I always start with the simplest possible per diem configuration and add complexity only as required by the client's policy. For a straightforward US domestic per diem with a single daily rate of USD \$250 covering both meals and accommodations, I use: Rate Currency = Single currency (USD), Rate Calculation Method = Daily rate, Rate Includes = Meals + Accommodations, no

deductions. For German per diem following the standard government schedule, I add Location and First and Last Day rate rules.

6.5 Per Diem Setup Process

The Per Diem setup follows a specific sequence of tasks that must be completed in order. I use this checklist with every client:

Step	Task	Steps Within the Task
1	Manage Policies by Expense Category	Create per diem policy and define rates; activate the policy
2	Verify Rates (optional)	Review uploaded rates in the spreadsheet to confirm accuracy
3	Manage Expense Report Template	Associate the activated per diem policy to the per diem expense type within the relevant template



Step 10: Go to Policies tab — Add per diem policy in Expense Policy section — Set Start Date — Save

6.6 Rate Calculation Methods In Detail

Understanding the Rate Calculation Method is critical to configuring per diem correctly. Here is how each method works in practice:

Calculation Method	How It Works	Use Case
Daily rate	A fixed amount is reimbursed for each full day of travel. Simple, predictable, easy to administer.	US domestic per diem, simple corporate policies
Sum of separate rates	Meals and accommodations are costed separately. The total per diem is the sum of the individual component rates.	German Reisekostenrecht (travel expense law), where meals and accommodation are reimbursed at separately regulated rates
Daily time range rates	The rate varies based on the number of hours the employee is away from home per day. Different rates apply for different hour bands.	Swiss and some EU per diem policies with time-band based rate schedules
Sum of separate time range rates	A combination: separate meal/accommodation rates, each varying by time-band. The most complex configuration.	Multi-country implementations requiring full compliance with diverse government-regulated per diem schedules

6.7 Associating Per Diem Policy to an Expense Type

The final step in per diem configuration is associating the activated policy to the per diem expense type within the Expense Report Template. The steps I follow:

Navigate to the Manage Expense Report Template page, then search for the template containing the per diem expense type. Drill down to the expense type (for example, 'Domestic Daily'). Select the Policies tab. In the Expense Policy section, use the Add Row icon to open a new row, select the per diem policy from the choice list (for example, 'Domestic Per Diem'), and specify the Start Date. This date must be on or after the earliest start date of the rates uploaded for this policy. Click Save and Close.

How Per Diem Appears to Employees

When an employee submits a per diem expense, they select the Per Diem expense type from the template and enter a Start Date and End Date for the travel period. The system automatically calculates the Per Diem Total based on the rates configured in the policy, displays a daily breakdown showing each day's breakfast/lunch/dinner allowance and accommodation amount,

and shows the total reimbursable amount. Approvers and auditors can review the full daily breakdown in the expense report.

7. Policy Violations — Warning vs. Error Behaviour

One of the most frequent questions I receive from client business owners during implementations is: 'What happens when an employee submits an expense that exceeds our policy?' The answer depends on how you have configured the Policy Enforcement section, which exists on every rate enforcement policy screen.

7.1 Policy Violation Types

Policy Violation	Application Action	Effect on Employee	Calculation Formula
Warning	Generates a warning violation when an expense exceeds the defined tolerance	Employee sees a warning (if 'Display warning to user' is checked). Report can still be submitted.	$\text{Policy Rate} \times (1 + \text{Warning Tolerance} / 100)$
Error	Generates an error violation when an expense exceeds the defined tolerance	Employee sees an error and is PREVENTED from submitting the expense report.	$\text{Policy Rate} \times (1 + \text{Error Tolerance} / 100)$

To illustrate with a practical example: suppose you have a Meals policy with a single-instance limit of USD \$50. If you set a Warning Tolerance of 10% and an Error Tolerance of 20%, then:

- A meal of USD \$55 ($50 \times 1.10 = \55) would trigger a Policy Violation Warning — the employee sees a warning but can still submit
- A meal of USD \$60 ($50 \times 1.20 = \60) would trigger a Policy Violation Error — the employee cannot submit the report until the amount is corrected or a justification is provided

Important — Airfare Warnings Always Visible to Approvers

For standard expense policies, the approver only sees the warning if 'Display warning to user' is checked AND the employee is shown the warning. However, for Airfare policies specifically, the approver ALWAYS sees the warning — regardless of the 'Display warning to user' setting. This is by design and cannot be changed. I always make sure to explain this distinction to clients setting up airfare policies.

8. Job Roles Required for Expense Policy Setup

Before I can configure any of the expense policies described in this document, the appropriate job roles must be assigned to the user performing the setup. Oracle Fusion ships with specific job roles that grant access to the Expenses setup tasks. The following roles are relevant for per diem and expense policy setup tasks:

Job Role	Description
Application Implementation Consultant	Broad access to all Setup and Maintenance tasks including Expenses configuration. Typically used for initial implementation by consultants.
Financial Application Administrator	Administrative access to Financials configuration including expense policy setup. Typically used for IT administrators managing ongoing configuration.
Expense Manager	Limited setup access for expense policy management. Typically assigned to Finance team members who maintain policies after go-live.

Role Assignment Tip

In my implementations, I recommend assigning the 'Expense Manager' role to the Finance team member who will own policy maintenance after go-live, and 'Financial Application Administrator' to the IT support team. The 'Application Implementation Consultant' role should be removed from production user accounts once the implementation is complete to comply with least-privilege security principles.

9. End-to-End Policy Configuration Summary

Having covered all the major policy types in detail, I want to close with a consolidated view of the full policy configuration lifecycle in Oracle Fusion Expenses. This is the sequence I follow on every implementation, regardless of the complexity of the client's expense policy requirements:

Phase	Activity	Navigation / Task	Key Outputs
1. Preparation	Assess client expense policy requirements	Discovery workshops with Finance and HR	Policy matrix by category, currency, and business unit
2. Lookup Configuration	Set up Vehicle Type, Vehicle Category, and Fuel Type lookups (for Mileage)	Setup & Maintenance > Manage Standard Lookups	EXM_VEHICLE_TYPE, EXM_VEHICLE_CATEGORY, EXM_FUEL_TYPE lookup codes
3. Policy Creation	Create all category-based expense policies	Setup & Maintenance > Expenses > Manage Policies by Expense Category	Draft policies for all categories
4. Rate Upload	Upload rate data via ADFdi spreadsheet (Car Rental, Mileage, Per Diem)	ADFDi spreadsheet accessed from policy page	Rates uploaded; Validation Status = Valid
5. Policy Activation	Activate all policies; confirm confirmation dialog	Manage Policies by Expense Category > Select policy > Activate	Policy Status = Active
6. Template Assignment	Assign active policies to expense types within Expense Report Templates	Manage Expense Report Templates > Edit expense type > Policies tab	Policies linked to expense types
7. Testing	Validate policy behavior in the expense entry UI	Expenses work area > Create Expense Report > Submit items	Confirmed warnings, errors, and rate calculations behave as designed

10. Final Thoughts and Recommendations

Implementing Oracle Fusion expense policies correctly is one of those areas where the depth of your configuration knowledge pays direct dividends in user adoption, audit outcomes, and compliance posture. In my experience, the most common implementation failures in this area stem from three root causes:

- Failing to activate policies before assigning them to expense types — policies must be in Active status to enforce; Draft or Valid status will not trigger enforcement
- Mixing up Rate Enforcement and Rate Calculation policies — applying a calculation policy (Mileage/Per Diem) to a limit-based category will produce unexpected behavior
- Skipping the expense template assignment step — even perfectly configured and activated policies have no effect unless they are linked to the correct expense types in the Manage Expense Report Templates task

I recommend maintaining a policy configuration workbook throughout your implementation that tracks every policy by name, category, status, activation date, and the expense type(s) it is assigned to. This workbook becomes your go-to reference for post-go-live policy changes and is invaluable during audits.

For global implementations, pay particular attention to currency configuration on each policy — always test the end-to-end expense entry experience for each business unit and currency combination in your scope. And for per diem configurations, always involve your Tax and Finance teams to confirm that the rate structure meets local regulatory requirements.

Want to Learn More?

This document covers Oracle Fusion Expenses — Expense Policies and Rules. For related topics including Expense Approval Rules, Audit Rule Configuration, Corporate Card Integration, and Cash Advances, please refer to the other modules in this implementation guide series.

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